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Mr. Selestino Babungi  
Managing Director  
Umeme Limited  
P O Box 23841  
Kampala  
Uganda

Our ref: Z901/01/al/pk/sk

02 September 2016

Dear Sir

**Umeme Limited**

**Condensed interim Financial statements (Unaudited) for the six month period ended 30 June 2016**

We enclose ten (10) sets of the above report duly signed for your distribution and retention.

Please note that we have retained one (1) set for our records.

We thank you and your staff for the support accorded to us during the course of this assignment.

Yours sincerely

**Asad Lukwago**  
*Director - Audit*

*Enclosures*





# UMEME

**UMEME LIMITED  
CONDENSED INTERIM FINANCIAL STATEMENTS  
(UNAUDITED)**

**FOR THE SIX MONTHS PERIOD ENDED  
30 JUNE 2016**

**Umeme Limited**  
**Condensed Interim Financial Statements (Unaudited)**  
**For the six-month period ended 30 June 2016**

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**Umeme Limited**  
**Statement of directors' responsibilities**  
**For the six-month period ended 30 June 2016**

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The Uganda Securities Exchange Rules, 2003 require the directors to prepare interim financial statements for each six-month period in accordance with IAS 34 Interim Financial Reporting, which show the state of the financial affairs of Umeme Limited ("the Company") as at the end of the six-month period and of its operating results for that period.

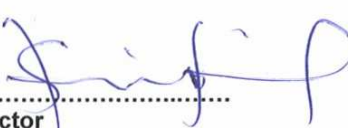
The directors are ultimately responsible for the internal control system of the Company. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company's assets. Appropriate accounting policies supported by reasonable and prudent judgements and estimates, are applied on a consistent basis and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the interim financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IAS 34 Interim Financial Reporting. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of interim financial statements, as well as adequate systems of internal financial control.

The directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. In addition, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern for the next twelve months from the date of this statement. Therefore, the Company's interim financial statements continue to be prepared on the going concern basis.

The interim financial statements were approved by the Board of Directors on 1 September 2016 and signed on its behalf by:

  
.....  
Director

  
.....  
Director

Date: 1/09/2016

## **REPORT ON REVIEW OF CONDENSED INTERIM FINANCIAL STATEMENTS TO THE DIRECTORS OF UMEME LIMITED**

### **INTRODUCTION**

We have reviewed the accompanying condensed statement of financial position of Umeme Limited ("the Company"), the condensed statements of profit or loss, comprehensive income, changes in equity and cash flows for the six-month period then ended, and the notes to the financial statements, which include a summary of significant accounting policies and other explanatory notes as set out on pages 3 to 28. The directors are responsible for the preparation and presentation of this interim financial information in accordance with IAS 34, Interim Financial Reporting. Our responsibility is to express a conclusion on this interim financial information based on our review.

### **SCOPE OF REVIEW**

We conducted our review in accordance with International Standards on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

### **CONCLUSION**

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim financial information does not give a true and fair view of the condensed financial position of the company as at 30 June 2016, and of its financial performance and its cash flows for the six-month period then ended, in accordance with IAS 34, Interim Financial Reporting.



**KPMG**  
Certified Public Accountants  
P.O. Box 3509  
Kampala, Uganda

Date: 2 September 2016

**Umeme Limited**  
**Condensed Statement of Profit or Loss.**  
**For the six-month period ended 30 June 2016**

|                                             | Note | Unaudited<br>30 June<br>2016<br>Ushs million | Unaudited<br>30 June<br>2015<br>Ushs million<br>(Conformed) | Unaudited<br>30 June<br>2015<br>Ushs million<br>(As<br>previously<br>reported) |
|---------------------------------------------|------|----------------------------------------------|-------------------------------------------------------------|--------------------------------------------------------------------------------|
| Revenue                                     | 3    | 658,700                                      | 547,646                                                     | 547,646                                                                        |
| Cost of sales                               | 4    | (446,327)                                    | (347,119)                                                   | (347,119)                                                                      |
| <b>GROSS PROFIT</b>                         |      | <b>212,373</b>                               | <b>200,527</b>                                              | <b>200,527</b>                                                                 |
| Other operating income                      | 5(a) | 3,482                                        | 3,549                                                       | 3,549                                                                          |
| Finance income                              | 5(b) | 13,127                                       | 10,602                                                      | 10,602                                                                         |
|                                             |      | <b>228,982</b>                               | <b>214,678</b>                                              | <b>214,678</b>                                                                 |
| Repair and maintenance expenses             |      | (8,177)                                      | (9,144)                                                     | (9,144)                                                                        |
| Administration expenses                     |      | (75,297)                                     | (82,155)                                                    | (82,155)                                                                       |
| Foreign exchange losses                     |      | (909)                                        | (742)                                                       | (72,872)                                                                       |
| <b>OPERATING PROFIT BEFORE AMORTISATION</b> |      | <b>144,599</b>                               | <b>122,637</b>                                              | <b>50,507</b>                                                                  |
| Impairment of assets                        |      | -                                            | (1,860)                                                     | (1,860)                                                                        |
| Amortisation of intangible assets           |      | (31,927)                                     | (20,464)                                                    | (20,464)                                                                       |
| <b>OPERATING PROFIT</b>                     |      | <b>112,672</b>                               | <b>100,313</b>                                              | <b>28,183</b>                                                                  |
| Finance costs                               |      | (32,476)                                     | (25,842)                                                    | (25,842)                                                                       |
| <b>PROFIT BEFORE TAX</b>                    |      | <b>80,196</b>                                | <b>74,471</b>                                               | <b>2,341</b>                                                                   |
| Income tax expense                          |      | (25,699)                                     | (6,812)                                                     | (6,812)                                                                        |
| <b>PROFIT/(LOSS) FOR THE PERIOD</b>         |      | <b>54,497</b>                                | <b>67,659</b>                                               | <b>(4,471)</b>                                                                 |
| <b>BASIC AND DILUTED EARNINGS PER SHARE</b> | 6    | <b>33.6</b>                                  | <b>41.7</b>                                                 | <b>(2.75)</b>                                                                  |

The notes on pages 8 to 28 form an integral part of these financial statements.



**Umeme Limited**  
**Condensed Statement of Comprehensive Income.**  
**For the six-month period ended 30 June 2016**

|                                                                         | Unaudited<br>30 June 2016<br>Ushsmillion | Unaudited<br>30 June 2015<br>Ushsmillion<br>(Conformed) | Unaudited<br>30 June 2015<br>Ushs million<br>(As previously<br>reported) |
|-------------------------------------------------------------------------|------------------------------------------|---------------------------------------------------------|--------------------------------------------------------------------------|
| <b>Profit/(Loss) for the period</b>                                     | <b>54,497</b>                            | <b>67,659</b>                                           | <b>(4,471)</b>                                                           |
| <b>Other comprehensive income</b>                                       |                                          |                                                         |                                                                          |
| Foreign currency translation differences                                | 4,545                                    | 52,739                                                  | -                                                                        |
| <b>Total comprehensive income/(loss) for the period,<br/>net of tax</b> | <b>59,042</b>                            | <b>120,398</b>                                          | <b>(4,471)</b>                                                           |

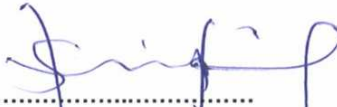
The notes on pages 8 to 28 form an integral part of these financial statements.

**Umeme Limited**  
**Condensed Statement of Financial Position**  
**As at 30 June 2016**

|                                                        | Note | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|--------------------------------------------------------|------|----------------------------------------------|------------------------------------------------|
| <b>NON CURRENT ASSETS</b>                              |      |                                              |                                                |
| Intangible assets                                      | 7    | 1,084,206                                    | 1,044,595                                      |
| Concession arrangement : financial asset               | 8    | 329,464                                      | 313,960                                        |
| Financial asset                                        | 9    | 49,956                                       | -                                              |
|                                                        |      | <u>1,463,626</u>                             | <u>1,358,555</u>                               |
| <b>CURRENT ASSETS</b>                                  |      |                                              |                                                |
| Inventories                                            |      | 56,038                                       | 43,398                                         |
| Amount recoverable from customer capital contributions | 10   | 8,787                                        | 6,634                                          |
| Trade and other receivables                            |      | 335,074                                      | 337,768                                        |
| Interest Rate Swap                                     | 11   | 14                                           | -                                              |
| Bank balances                                          | 12   | 18,837                                       | 28,514                                         |
|                                                        |      | <u>418,750</u>                               | <u>416,314</u>                                 |
| <b>TOTAL ASSETS</b>                                    |      | <u><b>1,882,376</b></u>                      | <u><b>1,774,869</b></u>                        |
| <b>EQUITY AND LIABILITIES</b>                          |      |                                              |                                                |
| <b>EQUITY</b>                                          |      |                                              |                                                |
| Issued capital                                         |      | 27,748                                       | 27,748                                         |
| Share premium                                          |      | 70,292                                       | 70,292                                         |
| Retained earnings                                      |      | 287,219                                      | 272,325                                        |
| Reserves                                               |      | 137,955                                      | 133,410                                        |
|                                                        |      | <u>523,214</u>                               | <u>503,775</u>                                 |
| <b>NON-CURRENT LIABILITIES</b>                         |      |                                              |                                                |
| Borrowings: Non-current portion                        | 13   | 475,395                                      | 477,160                                        |
| Concession obligation                                  | 14   | 329,464                                      | 313,960                                        |
| Deferred income tax liability                          |      | 80,097                                       | 69,448                                         |
|                                                        |      | <u>884,956</u>                               | <u>860,568</u>                                 |
| <b>CURRENT LIABILITIES</b>                             |      |                                              |                                                |
| Borrowings: Current portion                            | 13   | 93,222                                       | 1,237                                          |
| Customer security deposits                             |      | 638                                          | 998                                            |
| Deferred income                                        |      | 7,239                                        | 12,437                                         |
| Long term incentive plan                               | 15   | 3,972                                        | 14,490                                         |
| Trade and other payables                               |      | 312,194                                      | 344,832                                        |
| Current income tax payable                             |      | 8,956                                        | 5,250                                          |
| Short term borrowings                                  | 20   | 47,985                                       | 31,282                                         |
|                                                        |      | <u>474,206</u>                               | <u>410,526</u>                                 |
| <b>TOTAL EQUITY AND LIABILITIES</b>                    |      | <u><b>1,882,376</b></u>                      | <u><b>1,774,869</b></u>                        |

These financial statements were approved by the Board of Directors on 1 September 2016 and signed on its behalf by:

  
 Director

  
 Director

The notes on pages 8 to 28 form an integral part of these financial statements.



**Umeme Limited**  
**Condensed Statement of Changes in Equity**  
**For the six-month period ended 30 June 2016**

|                                                 | Issued<br>capital<br>Ushs<br>million | Share<br>premium<br>Ushs<br>million | Translation<br>reserve<br>Ushs<br>million | Retained<br>earnings<br>Ushs<br>million | Total<br>equity<br>Ushs<br>million |
|-------------------------------------------------|--------------------------------------|-------------------------------------|-------------------------------------------|-----------------------------------------|------------------------------------|
| At 1 January 2015                               | 27,748                               | 70,292                              | -                                         | 215,672                                 | 313,712                            |
| Profit for the year                             | -                                    | -                                   | -                                         | 105,857                                 | 105,857                            |
| Other comprehensive income, net of tax          | -                                    | -                                   | 133,410                                   | -                                       | 133,410                            |
| Dividend paid                                   | -                                    | -                                   | -                                         | (49,204)                                | (49,204)                           |
| <b>At 31 December 2015</b>                      | <b>27,748</b>                        | <b>70,292</b>                       | <b>133,410</b>                            | <b>272,325</b>                          | <b>503,775</b>                     |
| At 1 January 2016                               | 27,748                               | 70,292                              | 133,410                                   | 272,325                                 | 503,775                            |
| Profit for the period                           | -                                    | -                                   | -                                         | 54,497                                  | 54,497                             |
| Other comprehensive income, net of tax          | -                                    | -                                   | 4,545                                     | -                                       | 4,545                              |
| Dividend paid                                   | -                                    | -                                   | -                                         | (39,603)                                | (39,603)                           |
| <b>At 30 June 2016</b>                          | <b>27,748</b>                        | <b>70,292</b>                       | <b>137,955</b>                            | <b>287,219</b>                          | <b>523,214</b>                     |
| At 1 January 2015                               | 27,748                               | 70,292                              | -                                         | 215,672                                 | 313,712                            |
| Profit for the period                           | -                                    | -                                   | -                                         | 67,659                                  | 67,659                             |
| Other comprehensive income, net of tax          | -                                    | -                                   | 52,739                                    | -                                       | 52,739                             |
| Dividend paid                                   | -                                    | -                                   | -                                         | (31,666)                                | (31,666)                           |
| <b>At 30 June 2015 (Conformed)</b>              | <b>27,748</b>                        | <b>70,292</b>                       | <b>52,739</b>                             | <b>251,665</b>                          | <b>402,444</b>                     |
| At 1 January 2015                               | 27,748                               | 70,292                              | -                                         | 215,672                                 | 313,712                            |
| Loss for the period                             | -                                    | -                                   | -                                         | (4,471)                                 | (4,471)                            |
| Other comprehensive income, net of tax          | -                                    | -                                   | -                                         | -                                       | -                                  |
| Dividend paid                                   | -                                    | -                                   | -                                         | (31,666)                                | (31,666)                           |
| <b>At 30 June 2015 (As previously reported)</b> | <b>27,748</b>                        | <b>70,292</b>                       | <b>-</b>                                  | <b>179,535</b>                          | <b>277,575</b>                     |

The notes on pages 8 to 28 form an integral part of these financial statements.

**Umeme Limited**  
**Condensed Statement of Cashflows**  
**For the six-month period ended 30 June 2016**

|                                                                    | Note      | Unaudited<br>30 June<br>2016<br><br>Ushs<br>million | Unaudited<br>30 June<br>2015<br><br>Conformed<br>Ushs<br>million |
|--------------------------------------------------------------------|-----------|-----------------------------------------------------|------------------------------------------------------------------|
| Profit before tax                                                  |           | 80,196                                              | 74,471                                                           |
| <b>Adjustment for:</b>                                             |           |                                                     |                                                                  |
| Interest received from banks                                       |           | (270)                                               | (415)                                                            |
| Amortisation of intangible assets                                  | 7         | 31,927                                              | 20,464                                                           |
| Loss on disposal of intangible assets                              |           | -                                                   | 1,860                                                            |
| Finance Income on Concession Financial Asset                       | 8         | (12,351)                                            | (10,187)                                                         |
| Finance income on receivable from buyout amount                    | 9         | (506)                                               | -                                                                |
| Interest expense on Facilities A and B                             | 13        | 15,261                                              | 9,264                                                            |
| Amortisation of deferred transaction costs                         | 13        | 1,882                                               | 1,296                                                            |
| Finance cost on concession obligation                              | 14        | 12,351                                              | 10,187                                                           |
| Unrealised foreign exchange losses/(gains) on translation          |           | 392                                                 | (6,073)                                                          |
| <b>Cash flows before working capital movements</b>                 |           | <b>128,882</b>                                      | <b>100,867</b>                                                   |
| Increase in inventories                                            |           | (12,640)                                            | (15,218)                                                         |
| Increase in amount recoverable from customer capital contributions |           | (2,153)                                             | (3,483)                                                          |
| Decrease in trade and other receivables                            |           | 2,694                                               | 4,845                                                            |
| Increase in Interest rate SWAP                                     |           | (14)                                                | -                                                                |
| Decrease in deferred income                                        |           | (5,198)                                             | 5,923                                                            |
| Decrease in long term incentive plan                               |           | (10,518)                                            | 6,018                                                            |
| Decrease in trade and other payables                               |           | (32,638)                                            | 45,019                                                           |
| <b>Cash generated from operating activities</b>                    |           | <b>68,415</b>                                       | <b>143,971</b>                                                   |
| Interest received from banks                                       |           | 270                                                 | 415                                                              |
| Current income tax paid                                            |           | (11,936)                                            | (19,201)                                                         |
| Interest paid on loan A and B                                      |           | (16,479)                                            | (9,561)                                                          |
| Commitment fees on loan A and B                                    |           | (373)                                               | (1,243)                                                          |
| <b>Net cash flows from operating activities</b>                    |           | <b>39,897</b>                                       | <b>114,381</b>                                                   |
| <b>Investing activities</b>                                        |           |                                                     |                                                                  |
| Purchase of intangible assets                                      | 7         | (110,014)                                           | (103,899)                                                        |
| <b>Net cash flows used in investing activities</b>                 |           | <b>(110,014)</b>                                    | <b>(103,899)</b>                                                 |
| <b>Financing activities</b>                                        |           |                                                     |                                                                  |
| Net proceeds from borrowings                                       | 13        | 83,700                                              | 72,410                                                           |
| Dividends declared                                                 |           | (39,603)                                            | (31,666)                                                         |
| <b>Net cash flows from financing activities</b>                    |           | <b>44,097</b>                                       | <b>40,744</b>                                                    |
| <b>Net (decrease)/increase in cash and cash equivalents</b>        |           | <b>(26,020)</b>                                     | <b>51,226</b>                                                    |
| Cash and cash equivalents at 1 January                             |           | (3,766)                                             | (2,575)                                                          |
| <b>Cash and cash equivalents at 30 June</b>                        | <b>17</b> | <b>(29,786)</b>                                     | <b>48,651</b>                                                    |

The notes on pages 8 to 28 form an integral part of these financial statements.

**Umeme Limited**  
**Notes to the condensed interim financial statements**  
**For the six-month period ended 30 June 2016**

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**1. COMPANY INFORMATION AND GOING CONCERN**

**1.1 Company information**

Umeme Limited (the Company) is a limited company incorporated in Uganda under the Companies Act, 2012 of Uganda, and licensed under Licence No. 047 and No. 48 to carry on business of electricity distribution and supply by the Electricity Regulatory Authority under the provisions of the Electricity Act 1999, (Cap 145). The Company's business operations are generally evenly distributed over the period.

The Company's shares are publicly traded on the Uganda Securities Exchange (USE) and cross listed on Nairobi Stock Exchange (NSE).

The condensed interim financial statements of the Company for the six-months ended 30 June 2016 were authorized for issue in accordance with a resolution of the directors on 11.09.16 2016.

**1.2 Going concern**

The Company's directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the condensed interim financial statements have been prepared on the going concern basis.

**2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

**(a) Basis of preparation**

The condensed interim financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. The condensed interim financial statements do not include all the information and disclosures required in annual financial statements, and should be read in conjunction with the Company's annual financial statements as at 31 December 2015 and the notes to these condensed interim financial statements that include explanation of events and transactions that are significant to the understanding of the changes in financial position and performance of the Company since 31 December 2015. The explanatory notes disclose the events and transactions that update the relevant information presented in the 2015 annual financial statements including:

- The nature and amount of items affecting the Company's financial position, performance and cash flows that are unusual because of their nature, size or incidence.
- The nature and amount of changes in estimates of amounts reported in prior periods.
- Issues and repayments of debt and equity securities.
- Dividends paid for ordinary shares.

**(b) Changes in accounting policies and methods of computation**

The accounting policies and methods of computation adopted in the preparation of these condensed interim financial statements are consistent with those followed in the preparation of the Company's financial statements for the year ended 31 December 2015.

Effective 1 January 2015, the company reassessed its functional currency and determined that the United States Dollar (USD) is the appropriate functional currency that most faithfully represents the economic effect of the underlying transactions, events and conditions that are relevant to the company.

**Functional currency**

Functional currency is the currency of the primary economic environment in which the entity operates. The primary economic environment in which an entity operates is normally the one in which it primarily generates and expends cash.



## **2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

### **(b) Changes in accounting policies and methods of computation (continued)**

#### ***Foreign currency transactions***

Items included in the financial statements are measured in USD, which is the company's functional currency effective 1 January 2015.

Transactions in foreign currencies are translated into United States Dollar using the rate of exchange ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated into United States Dollars at the exchange rates ruling at that date.

Foreign currency differences arising on translation are recognized in the profit or loss except for differences arising on translation of available for sale equity instruments.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into the United States Dollar at the exchange rate at the date when the fair value was determined.

Non-Monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of transaction.

#### **Presentation currency**

Presentation currency is the currency in which the financial statements are presented. The financial statements prepared using the company's functional currency are translated into the presentation currency as follows;

- Assets and liabilities for each statement of financial position presented (i.e. including comparatives) are translated at the closing rate at the date of the statement of financial position;
- Income and expenses for each statement presenting profit or loss and other comprehensive income (i.e. including comparatives) are translated at exchange rates at the dates of the transactions; and
- All resulting exchange differences are recognised in other comprehensive income.

### **(c) Segment information**

The Company is organised into one single business unit for management purposes. Management monitors the operating results of the business as a single unit for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which is measured the same as the operating profit or loss in the financial statements. There were no changes to this during the period.

All the Company's revenue is generated from external customers domiciled in Uganda and no single external customer contributes revenue amounting up to 10% of the Company's revenue. All the Company's assets are located in Uganda.

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**3. REVENUE**

|                                                         |      | Unaudited<br>30 June<br>2016<br>Ushs<br>million | Unaudited<br>30 June<br>2015<br>Ushs<br>million<br>(Conformed) | Unaudited<br>30 June<br>2015<br>Ushs<br>million<br>(As<br>previously<br>presented) |
|---------------------------------------------------------|------|-------------------------------------------------|----------------------------------------------------------------|------------------------------------------------------------------------------------|
| Domestic                                                |      | 170,525                                         | 149,176                                                        | 149,176                                                                            |
| Commercial                                              |      | 93,590                                          | 75,684                                                         | 75,684                                                                             |
| Medium industrial                                       |      | 129,932                                         | 109,765                                                        | 109,765                                                                            |
| Street lighting                                         |      | 434                                             | 412                                                            | 412                                                                                |
| Large industrial                                        |      | 237,724                                         | 196,586                                                        | 196,586                                                                            |
| <b>Total amount billed to customers</b>                 |      | <b>632,205</b>                                  | <b>531,623</b>                                                 | <b>531,623</b>                                                                     |
| Revenue adjustment (Amendment 2&4)                      | 3(a) | 17,444                                          | 13,963                                                         | 13,963                                                                             |
| Less: Recovery of income for funding non-network assets | 3(b) | (3,548)                                         | (4,273)                                                        | (4,273)                                                                            |
|                                                         |      | <b>646,101</b>                                  | <b>541,313</b>                                                 | <b>541,313</b>                                                                     |
| Construction revenue-construction of assets             |      | 12,599                                          | 6,333                                                          | 6,333                                                                              |
|                                                         |      | <b>658,700</b>                                  | <b>547,646</b>                                                 | <b>547,646</b>                                                                     |

3(a) Electricity Regulatory Authority (ERA) implemented Amendments Number 2 and 4 of the Supply License relating to reconciliation of the total energy purchased from UETCL on the return on investment components of the tariff and this resulted in clawing back through the bulk supply tariff payable by the Company for electricity purchases of Ushs 17.444 billion (US\$ 5.174). The Company has a right to recover the amounts clawed back by ERA under the Privatization Agreements and as such, the Company has accrued Ushs 17.444 billion as revenue for the six month period ended 30 June 2016 in accordance with IAS 18 *Revenue*.

On the 18 May 2016 the Company entered into a Consent Judgment with the Electricity Regulatory Authority (ERA). The judgement provides proposals for modification of Umeme's Electricity Supply Licence No 048 to incorporate the terms agreed therein and introduce a new Amendment (Amendment Number 5) that will supersede Umeme's Supply Licence Amendments No 2 & 4 of 2012 and will have the effect of resolving the matters in dispute between the parties.

3 (b) In accordance with Amendment Number 4 of the Company's Electricity Supply License, ERA approved Ushs 3.548 billion (2015: Ushs 4.273 billion) to be collected from customers through the retail tariffs for purchase of non-network assets. Non-network assets are those which do not directly improve or expand the Distribution Network but are necessary for operation of the Distribution Network. This amount was offset from the reported revenue in line with the funding mechanism.

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**4. COST OF SALES**

|                                           | Unaudited<br>30 June 2016<br>Ushs<br>million | Unaudited<br>30 June 2015<br>Ushs<br>million<br>(Conformed) | Unaudited<br>30 June 2015<br>Ushs<br>million<br>(As<br>previously<br>presented) |
|-------------------------------------------|----------------------------------------------|-------------------------------------------------------------|---------------------------------------------------------------------------------|
| Electricity purchase from UETCL           | 431,822                                      | 339,191                                                     | 339,191                                                                         |
| Generation levy                           | 1,906                                        | 1,595                                                       | 1,595                                                                           |
| Construction costs-construction of assets | 12,599                                       | 6,333                                                       | 6,333                                                                           |
|                                           | <b>446,327</b>                               | <b>347,119</b>                                              | <b>347,119</b>                                                                  |

**5. OTHER OPERATING INCOME**

|                                                  | Unaudited<br>30 June 2016<br>Ushs<br>million | Unaudited<br>30 June 2015<br>Ushs<br>million<br>(Conformed) | Unaudited<br>30 June 2015<br>Ushs<br>million<br>(As<br>previously<br>presented) |
|--------------------------------------------------|----------------------------------------------|-------------------------------------------------------------|---------------------------------------------------------------------------------|
| <b>a) Other operating income</b>                 |                                              |                                                             |                                                                                 |
| Reconnection fees                                | 207                                          | 593                                                         | 593                                                                             |
| Meter/transformer test fees                      | 12                                           | 1                                                           | 1                                                                               |
| Inspection fees                                  | 2,822                                        | 2,547                                                       | 2,547                                                                           |
| Sale of scrap and other disposals                | 83                                           | 109                                                         | 109                                                                             |
| Fines and sundry income                          | 358                                          | 299                                                         | 299                                                                             |
|                                                  | <b>3,482</b>                                 | <b>3,549</b>                                                | <b>3,549</b>                                                                    |
| <b>b) Finance income</b>                         |                                              |                                                             |                                                                                 |
| Interest on bank deposits                        | 270                                          | 415                                                         | 415                                                                             |
| Financing income from concession financial asset | 12,351                                       | 10,187                                                      | 10,187                                                                          |
| Financing income from financial asset            | 506                                          | -                                                           | -                                                                               |
|                                                  | <b>13,127</b>                                | <b>10,602</b>                                               | <b>10,602</b>                                                                   |
| <b>Total other operating and finance income</b>  | <b>16,609</b>                                | <b>14,151</b>                                               | <b>14,151</b>                                                                   |



**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**6. BASIC AND DILUTED EARNINGS PER SHARE**

Basic and diluted earnings per share are calculated by dividing the profit attributable to shareholders by the basic and diluted weighted average number of ordinary shares in issue during the period.

|                                                                        | Unaudited<br>30 June<br>2016 | Unaudited<br>30 June<br>2015<br>(Conformed) | Unaudited<br>30 June<br>2015<br>(As<br>previously<br>presented) |
|------------------------------------------------------------------------|------------------------------|---------------------------------------------|-----------------------------------------------------------------|
| <b>Profit attributable to shareholders (Ushs million)</b>              | <b>54,497</b>                | <b>67,659</b>                               | <b>(4,471)</b>                                                  |
| Opening basic weighted average number of ordinary shares (million)     | 1,624                        | 1,624                                       | 1,624                                                           |
| Basic and Diluted weighted average number of ordinary shares (million) | 1,624                        | 1,624                                       | 1,624                                                           |
| <b>Basic and Diluted earnings per share (Ushs)</b>                     | <b>33.6</b>                  | <b>41.7</b>                                 | <b>(2.75)</b>                                                   |

**7. INTANGIBLE ASSETS**

|                            | GOU support<br>& assurances<br>rights<br>Ushsmillion | Other<br>concession<br>rights<br>Ushs million | Total<br>Ushs million |
|----------------------------|------------------------------------------------------|-----------------------------------------------|-----------------------|
| <b>Cost</b>                |                                                      |                                               |                       |
| <b>At 1 January 2015</b>   | <b>2,457</b>                                         | <b>779,885</b>                                | <b>782,342</b>        |
| Additions                  | -                                                    | 280,528                                       | 280,528               |
| Disposals and write offs   | -                                                    | (7,418)                                       | (7,418)               |
| Translation differences    | 833                                                  | 253,632                                       | 254,465               |
| <b>At 31 December 2015</b> | <b>3,290</b>                                         | <b>1,306,627</b>                              | <b>1,309,917</b>      |
| Additions                  | -                                                    | 110,014                                       | 110,014               |
| Disposals and write offs   | -                                                    | -                                             | -                     |
| Transfer to buyout amount  | -                                                    | (49,450)                                      | (49,450)              |
| Translation differences    | 32                                                   | 13,866                                        | 13,898                |
| <b>At 30 June 2016</b>     | <b>3,322</b>                                         | <b>1,381,057</b>                              | <b>1,384,379</b>      |
| <b>Amortisation</b>        |                                                      |                                               |                       |
| <b>At 1 January 2015</b>   | <b>(1,188)</b>                                       | <b>(162,178)</b>                              | <b>(163,366)</b>      |
| Charge for the year        | (123)                                                | (47,465)                                      | (47,588)              |
| Disposals and write offs   | -                                                    | 660                                           | 660                   |
| Translation differences    | (403)                                                | (54,625)                                      | (55,028)              |
| <b>At 31 December 2015</b> | <b>(1,714)</b>                                       | <b>(263,608)</b>                              | <b>(265,322)</b>      |
| Charge for the period      | (72)                                                 | (31,855)                                      | (31,927)              |
| Disposals and write offs   | -                                                    | -                                             | -                     |
| Translation differences    | (15)                                                 | (2,909)                                       | (2,924)               |
| <b>At 30 June 2016</b>     | <b>(1,801)</b>                                       | <b>(298,372)</b>                              | <b>(300,173)</b>      |
| <b>Net carrying amount</b> |                                                      |                                               |                       |
| <b>At 30 June 2016</b>     | <b>1,521</b>                                         | <b>1,082,685</b>                              | <b>1,084,206</b>      |
| <b>At 31 December 2015</b> | <b>1,576</b>                                         | <b>1,043,019</b>                              | <b>1,044,595</b>      |

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**8. CONCESSION ARRANGEMENT FINANCIAL ASSET**

|                                                       | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|-------------------------------------------------------|----------------------------------------------|------------------------------------------------|
| At 1 January                                          | 313,960                                      | 239,140                                        |
| Finance income for the period                         | 12,351                                       | 22,324                                         |
| Foreign exchange gain                                 | 3,153                                        | 52,496                                         |
| <b>At period end</b>                                  | <b>329,464</b>                               | <b>313,960</b>                                 |
| <b>Maturity analysis:</b>                             |                                              |                                                |
| Outstanding financial asset                           | 329,464                                      | 313,960                                        |
| Less: Amount recoverable within one year              | -                                            | -                                              |
| <b>Non-current portion of financial asset</b>         | <b>329,464</b>                               | <b>313,960</b>                                 |
| The financial asset is recoverable as analysed below: |                                              |                                                |
| Within one year                                       | -                                            | -                                              |
| Between one and two years                             | 7,192                                        | 7,624                                          |
| Between two and three years                           | 7,767                                        | 8,234                                          |
| Between three and four years                          | 6,704                                        | 8,659                                          |
| Between four and five years                           | 2,983                                        | 6,262                                          |
| After five years                                      | 304,818                                      | 283,181                                        |
|                                                       | <b>329,464</b>                               | <b>313,960</b>                                 |

Under the terms of the Lease and Assignment Agreement (LAA), the Company has an unconditional right to collect cash from the users of the distribution network for concession rental payments to UEDCL as determined by Electricity Regulatory Authority (ERA) through the tariff methodology.

No concession rental payments were made to UEDCL regarding the concession obligation during the years ended 31 December 2015 and for the period ended 30 June 2016 as ERA excluded the concession rental fees from the end user tariffs for the period.

UEDCL bears the risk that the cash flows generated by the users of the Distribution Network using the tariff approved by ERA will not be sufficient to recover the concession rental amounts paid by the Company to UEDCL. The Company's cash flows relating to the rentals paid are effectively secured, which results in a financial asset as the consideration received. The service concession arrangement is subject to a grantor (UEDCL) guarantee and payments made by the users are effectively regarded as cash collected on behalf of the grantor and this gives rise to a financial asset for the commitment made by the grantor. Concession rental payments to UEDCL regarding the concession obligation are accounted for in Note 14.

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**9. FINANCIAL ASSET**

|                                         | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|-----------------------------------------|----------------------------------------------|------------------------------------------------|
| At 1 January                            | -                                            | -                                              |
| Transfer from intangible asset – Note 7 | 49,450                                       | -                                              |
| Interest receivable – 5%                | 506                                          | -                                              |
|                                         | <b>49,956</b>                                | <b>-</b>                                       |

The financial asset represents capital investments by the Company which will not have been recovered through the tariff methodology at the time of transferring the distribution network back to the Government of Uganda at end of the Concession. It is computed as the gross accumulated capital investments less cumulative capital recovery charges at the time of transfer. Annual capital recovery charges are computed as the product of the gross total accumulated investments and weighted average depreciation rate.

As at 30 June 2016, the estimated weighted average depreciation rate was 9.5 % ( 2015: 9.5%) and it is hence estimated that capital investments amounting to US\$ 14.5 million (Ushs 49,450 million) as of that date will not have been recovered through the tariff methodology at the end of the concession. The buy-out amount shall be paid in cash with a 5% return and hence any amounts due are accounted for as a financial asset.

The financial assets are contractually denominated in USD dollars. The USD dollar balances above have been translated to Uganda shillings at the reporting date spot exchange rate of 3410.

The financial asset is computed based on total investments at 31 December 2015 less capital recovery charge for 2016 relating to investments approved as at end of 2015. The computation excludes investments for the period ended 30 June 2016 that mainly comprise of capital work in progress which is expected to be completed by the end of the financial year ended 31 December 2016.

**10. AMOUNT RECOVERABLE FROM CUSTOMER CAPITAL CONTRIBUTIONS**

|                                            | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|--------------------------------------------|----------------------------------------------|------------------------------------------------|
| At 1 January                               | 6,634                                        | 3,488                                          |
| Additions to customer funded installations | 2,452                                        | 4,038                                          |
| Completed customer funded installations    | (393)                                        | (892)                                          |
| Translation difference                     | 94                                           | -                                              |
| <b>At the end of period</b>                | <b>8,787</b>                                 | <b>6,634</b>                                   |

An impairment provision has been made for amounts recoverable from customer capital contributions amounting to Ushs 1.016 billion.

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**11. INTEREST RATE SWAP**

|                                         | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|-----------------------------------------|----------------------------------------------|------------------------------------------------|
| At 1 January                            | -                                            | -                                              |
| Change in fair value - charge to profit | 138                                          | 1,073                                          |
| Settlement during the period            | (152)                                        | (1,073)                                        |
| <b>At end of the period</b>             | <b>(14)</b>                                  | <b>-</b>                                       |

The Company has hedged the interest rate risk through Interest rate swaps worth US\$ 85 million (Ushs 255.7 billion) as at 30 June 2016. This is 50% of the total draw down of US\$170 million of the term facility. This is designated as a cash flow hedge as it hedges its cash flows attributable to interest rate risk. The Company does not designate derivatives (interest rate swaps) as hedging instruments under a fair value hedge accounting model. As at 30 June 2016, the Company was in a net receivable/settlement position of Ushs 14 million.

**12. BANK BALANCES**

|               | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31<br>December<br>2015<br>Ushs million |
|---------------|----------------------------------------------|---------------------------------------------------|
| Bank balances | 18,837                                       | 28,514                                            |

The Company holds no collateral in respect to the bank balances. Bank balances are short-term deposits made for varying periods depending on the cash requirements of the Company, and earn interest at the applicable market deposit rates

**13. BORROWINGS**

|                                                    | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31<br>December<br>2015<br>Ushs million |
|----------------------------------------------------|----------------------------------------------|---------------------------------------------------|
| Amounts due to lenders:                            | 579,699                                      | 490,904                                           |
| Less: Deferred transactions costs                  | (11,082)                                     | (12,507)                                          |
|                                                    | 568,617                                      | 478,397                                           |
| Less: Current portion - amount due within one year | (93,222)                                     | (1,237)                                           |
|                                                    | <b>475,395</b>                               | <b>477,160</b>                                    |



**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**13. BORROWINGS (CONTINUED)**

| a) Amount due to Lenders                | Unaudited<br>30 June 2016<br>Ushs million |                |                | Audited<br>31 December 2015<br>Ushs million |                |                |
|-----------------------------------------|-------------------------------------------|----------------|----------------|---------------------------------------------|----------------|----------------|
|                                         | Facility<br>A                             | Facility<br>B  | Total          | Facility<br>A                               | Facility<br>B  | Total          |
| <b>Movement on the account</b>          |                                           |                |                |                                             |                |                |
| At 1 January                            | 202,136                                   | 288,768        | 490,904        | 114,405                                     | 163,436        | 277,841        |
| Amount received during the period       | 34,465                                    | 49,235         | 83,700         | 62,572                                      | 89,393         | 151,965        |
| Interest charge for the period          | 6,284                                     | 8,977          | 15,261         | 9,651                                       | 13,785         | 23,436         |
| Foreign exchange losses                 | 2,596                                     | 3,717          | 6,313          | 24,668                                      | 35,242         | 59,910         |
| Less: Principal repayment               | -                                         | -              | -              | -                                           | -              | -              |
| Less: Interest payment                  | (6,784)                                   | (9,695)        | (16,479)       | (9,160)                                     | (13,088)       | (22,248)       |
| <b>At period end</b>                    | <b>238,697</b>                            | <b>341,002</b> | <b>579,699</b> | <b>202,136</b>                              | <b>288,768</b> | <b>490,904</b> |
| The amounts due are made up as follows: |                                           |                |                |                                             |                |                |
| Principal > 1 year                      | 206,855                                   | 279,622        | 486,477        | 201,626                                     | 288,041        | 489,667        |
| Principal < 1 year                      | 31,842                                    | 61,380         | 93,222         | -                                           | -              | -              |
| Interest < 1 year                       | -                                         | -              | -              | 510                                         | 727            | 1,237          |
|                                         | <b>238,697</b>                            | <b>341,002</b> | <b>579,699</b> | <b>202,136</b>                              | <b>288,768</b> | <b>490,904</b> |

**b) Deferred Transaction Costs**

|                                      | 30 June 2016<br>Ushs million |               |               | 31 December 2015<br>Ushs million |               |               |
|--------------------------------------|------------------------------|---------------|---------------|----------------------------------|---------------|---------------|
|                                      | Facility<br>A                | Facility<br>B | Total         | Facility<br>A                    | Facility<br>B | Total         |
| <b>Movement on the account</b>       |                              |               |               |                                  |               |               |
| At 1 January                         | 4,889                        | 7,427         | 12,316        | 4,889                            | 7,427         | 12,316        |
| <b>Transaction costs</b>             |                              |               |               |                                  |               |               |
| Upfront and guarantee fees           | 153                          | 220           | 373           | -                                | -             | -             |
| Management, security and agency fees | -                            | -             | -             | 1,078                            | 1,541         | 2,619         |
| Amortisation for the period          | (647)                        | (1,235)       | (1,882)       | (2,406)                          | (3,771)       | (6,177)       |
| Foreign exchange gains / losses      | 212                          | 63            | 275           | 1,503                            | 2,246         | 3,749         |
| <b>At Period end</b>                 | <b>4,607</b>                 | <b>6,475</b>  | <b>11,082</b> | <b>5,064</b>                     | <b>7,443</b>  | <b>12,507</b> |

The Company signed a term and revolving credit facilities agreement worth US\$ 190 million with International Finance Corporation (IFC), Standard Chartered Bank and Stanbic Bank Uganda Limited as the mandated lead arrangers. US\$ 70 million was designated as term Facility A to be lent by IFC and US\$ 100 million as term Facility B to be lent by Stanbic Bank Uganda Limited and Standard Chartered Bank. US\$ 15 million and US\$ 5 million were designated as revolving credit facilities with Standard Chartered Bank and Stanbic Bank Uganda Limited respectively. Standard Chartered Bank is the overdraft issuer, security agent and the facility agent.

During the period, the Company drew down Ushs 83.7 billion (US\$ 25 million) on the term facility comprising of Ushs 34.464 billion (US\$ 10.294 million) relating to facility A and Ushs 49.235 billion (US\$14.71 million) relating to Facility B.

As at 30 June 2016, the Company had drawn down Ushs 225 billion (US\$ 70 million) (2015: Ushs 202 billion (US\$ 59.706 million) on Facility A and Ushs 321 billion (US\$ 100 million) (2015: Ushs 288 billion (US\$ 85.295 million) on Facility B. Facilities A and B both attract interest at LIBOR (applicable screen rate) + a margin of 5%. Facilities A and B also attract commitment fees of 1.5% of the undrawn amounts per quarter.

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**13. BORROWINGS (CONTINUED)**

Facility A is repayable starting six months after the availability period (December 2016), in 15 semi-annual instalments of 6.7% of the total facility draw down at the end of the availability period and 6.62% on the termination date (December 2023). Facility B is repayable starting six months after the availability period (December 2016) in nine semi-annual instalments of 9% of the total facility draw down at the end of the availability period and 28% on the termination date (December 2020).

The Company is in advanced discussions with lenders to add an additional tranche of US\$ 50 million to the existing facility, to support financing of the ongoing capital investment plan.

The facilities are secured against a first ranking fixed charge on all the Company's rights, title and interest from time to time, in and to the Project Documents and all Related Rights; and all contracts of insurance in respect of the Mandatory Insurances in which the Company has an interest and all moneys from time to time payable there under, and related rights.

The Company is required to comply with four financial covenants as part of the financing arrangements. The Company was in compliance with all the financial covenants at 30 June 2016.

**14. CONCESSION OBLIGATION**

|                                                     | <b>Unaudited<br/>30 June<br/>2016<br/>Ushs million</b> | <b>Audited<br/>31 December<br/>2015<br/>Ushs million</b> |
|-----------------------------------------------------|--------------------------------------------------------|----------------------------------------------------------|
| At 1 January                                        | 313,960                                                | 239,140                                                  |
| Finance expense for the period                      | 12,351                                                 | 22,324                                                   |
| Foreign exchange loss                               | 3,153                                                  | 52,496                                                   |
| <b>At period end</b>                                | <b>329,464</b>                                         | <b>313,960</b>                                           |
| <b>Maturity analysis:</b>                           |                                                        |                                                          |
| Outstanding obligation                              | 329,464                                                | 313,960                                                  |
| Less: Amount due within one year                    | -                                                      | -                                                        |
| <b>Non-current portion of the obligation</b>        | <b>329,464</b>                                         | <b>313,960</b>                                           |
| The concession obligation is due as analysed below: |                                                        |                                                          |
| Within one year                                     | -                                                      | -                                                        |
| Between one and two years                           | 7,192                                                  | 7,624                                                    |
| Between two and three years                         | 7,767                                                  | 8,234                                                    |
| Between three and four years                        | 6,704                                                  | 8,659                                                    |
| Between four and five years                         | 2,983                                                  | 6,262                                                    |
| After five years                                    | 304,818                                                | 283,181                                                  |
|                                                     | <b>329,464</b>                                         | <b>313,960</b>                                           |

On 1 March 2005, the Company took over the operation of the electricity power distribution network that was being operated by UEDCL under a 20 year concession arrangement. The present value of the obligation arising from the lease rental payments under the concession agreements at the commencement of the concession was estimated to be Ushs 219 billion (US\$ 119 million) using a discounting rate of 8.911%. The present value of the concession obligation is adjusted in case of changes in the estimated repayments schedule.

**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**15. LONG TERM INCENTIVE PLAN**

This is made up of the provision for the cash shared based payment scheme as follows:

|                          | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|--------------------------|----------------------------------------------|------------------------------------------------|
| At 1 January             | 14,490                                       | 5,431                                          |
| Provision for the period | -                                            | 7,579                                          |
| Payment                  | (10,588)                                     | -                                              |
| Foreign exchange loss    | 70                                           | 1,480                                          |
| <b>At period end</b>     | <b>3,972</b>                                 | <b>14,490</b>                                  |

**16. DIVIDENDS**

|                       | Unaudited<br>30 June 2016 |                       | Audited<br>31 December 2015 |                       |
|-----------------------|---------------------------|-----------------------|-----------------------------|-----------------------|
|                       | Per share<br>Ushs         | Total<br>Ushs million | Per share<br>Ushs           | Total<br>Ushs million |
| Final dividend paid   | -                         | -                     | -                           | -                     |
| Interim dividend paid | -                         | -                     | 10.8                        | 17,538                |
| Dividend payable      | 24.4                      | 39,603                | -                           | -                     |

At the Annual General Meeting held on 24 May 2016, the shareholders approved a final dividend for the year ended 31 December 2015 of Ushs 24.4 per ordinary share to be paid for the year ended 31 December 2015 (2015: Ushs 19.5 per share for the year ended 31 December 2014). The dividends were paid to the shareholders on the 4<sup>th</sup> July 2016.

|                                      | Unaudited<br>30 June<br>2016<br>Ushs million | Unaudited<br>30 June<br>2015<br>Ushs million |
|--------------------------------------|----------------------------------------------|----------------------------------------------|
| <b>17. CASH AND CASH EQUIVALENTS</b> |                                              |                                              |
| Bank balances                        | 18,837                                       | 66,475                                       |
| Short term loan facilities           | (47,985)                                     | (8,025)                                      |
| Bank balances not available for use  | (638)                                        | (9,799)                                      |
|                                      | <b>(29,786)</b>                              | <b>48,651</b>                                |

ERA issued guidelines that require the Company to ring-fence and invest the cash held in respect to customer security deposits from any other funds of the Company. The guidelines were effective from 1 January 2011. Bank balances representing the carrying amount of the customer security are not available for use in the Company's operations.

**18. LETTERS OF CREDIT**

As at 30 June 2016, the Company had letters of credit facilities with Standard Chartered Bank Uganda Limited. The letters of credit facilitate the purchase and importation of network equipment and related electricity distribution accessories. A total of Ushs 7.5 billion (USD 2.21 million) had been issued under the letters of credit facilities as at 30 June 2016 (31 December 2015: Ushs 7.3 billion, US\$ 2.15 million). These Letters of credit are issued against the working capital lines of credit with Standard Chartered Bank Uganda Ltd.



**Umeme Limited**  
**Notes to the condensed interim financial statements (continued)**  
**For the six-month period ended 30 June 2016**

**19. RELATED PARTIES**

The Company's related parties include Umeme Holdings Limited, Umeme Management Services Limited and Actis Infrastructure 2 LP. Umeme Holdings Limited owns and controls 14.3% of the Company's issued shares and owns and controls 100% of the Umeme Management Services Limited's issued shares. Umeme Management Services Limited offers management services to the Company. Actis Infrastructure 2 LP owns Umeme Holdings Limited (through its ownership of Actis Infrastructure Umeme Limited). In September 2015, Globeleq Expatriate Services Ltd and Globeleq Advisors Limited were sold by Actis Infrastructure 2 LP that owned Globeleq Generation Limited and are therefore no longer related.

The following transactions were carried out with related parties:

|                                                      | <b>Unaudited<br/>30 June<br/>2016<br/>Ushs million</b> | <b>Audited<br/>31 December<br/>2015<br/>Ushs million</b> |
|------------------------------------------------------|--------------------------------------------------------|----------------------------------------------------------|
| <b>i) Management and secondment services</b>         |                                                        |                                                          |
| Globeleq Expatriate Services Ltd - Management fees   | -                                                      | 177                                                      |
| Umeme Management Services Limited                    | 1,262                                                  | 1,170                                                    |
| <b>ii) Other transactions</b>                        |                                                        |                                                          |
| Globeleq Advisors Limited-recharges                  | -                                                      | 415                                                      |
| <b>iii) Compensation of key management personnel</b> |                                                        |                                                          |
| Short-term employee benefits                         | 4,422                                                  | 6,509                                                    |
| Contributions to NSSF                                | 181                                                    | 430                                                      |

The above benefits include directors' emoluments and expenses and expatriate expenses.

The following were the related party balances:

|                                             | <b>Unaudited<br/>30 June 2016<br/>Ushs million</b> | <b>Audited<br/>31 December<br/>2015<br/>Ushs million</b> |
|---------------------------------------------|----------------------------------------------------|----------------------------------------------------------|
| <b>i) Amounts due to related parties</b>    |                                                    |                                                          |
| Umeme Management Services Limited           | 143                                                | -                                                        |
| Globeleq Advisors Limited                   | -                                                  | 1,407                                                    |
|                                             | <u>143</u>                                         | <u>1,407</u>                                             |
| <b>ii) Amounts due from related parties</b> |                                                    |                                                          |
| Actis Infrastructure 2 LP                   | -                                                  | 40                                                       |
| Umeme Holdings Limited                      | 704                                                | 652                                                      |
|                                             | <u>704</u>                                         | <u>692</u>                                               |

All balances due from/to related parties are unsecured. No impairment loss has been recognised on balances due from related parties.



**Umeme Limited**  
**Notes to the Condensed Interim Financial Statements (continued)**  
**For the six-month period ended 30 June 2016**

**20. COMMITMENTS**

**(a) Financing facilities**

|                                   | Unaudited<br>30 June<br>2016<br>Ushs million | Audited<br>31 December<br>2015<br>Ushs million |
|-----------------------------------|----------------------------------------------|------------------------------------------------|
| Short term borrowings facility    | 48,665                                       | 32,062                                         |
| Less: Deferred transactions costs | (680)                                        | (779)                                          |
|                                   | <b>47,985</b>                                | <b>31,283</b>                                  |

**(b) Deferred transaction costs**

|                                      |            |            |
|--------------------------------------|------------|------------|
| At 1 January                         | 779        | 971        |
| Transaction costs                    | -          | -          |
| Upfront and guarantee fees           | -          | -          |
| Management, security and agency fees | -          | -          |
| Commitment fees                      | -          | -          |
| Amortisation for the period          | (107)      | (192)      |
| Translation difference               | 8          | -          |
|                                      | <b>680</b> | <b>779</b> |

As at 30 June 2016, the Company had drawn down Ushs 36,626 million, US\$ 10.741 million (December 2015: Ushs 32,344 million, US\$ 9.577 m) from Standard Chartered Bank under the revolving credit facility and Ushs 12,340 million, US\$ 3.618 million. The revolving credit facility attracts interest based on the Treasury bill rate + a margin determined by the facility agent (if withdrawn in Ushs) or LIBOR + a margin determined by the facility agent (if withdrawn in USD dollars). The facility is payable on the last day of its interest period. The applicable interest rate as at period-end was 20.99%. (December 2015: 19.2%). Other terms and conditions are as disclosed in note 13.

**(c) Capital commitments**

The following capital expenditure had been committed by the Company and also approved by the Electricity Regulatory Authority (ERA):

|                                   | Unaudited<br>30 June 2016 |                 | Audited<br>31 December 2015 |                 |
|-----------------------------------|---------------------------|-----------------|-----------------------------|-----------------|
|                                   | Ushs<br>million           | US\$<br>million | Ushs<br>million             | US\$<br>million |
| Authorised and contracted for     | 205,453                   | 60.25           | 199,918                     | 59.2            |
| Authorised and not contracted for | 151,609                   | 44.46           | 65,851                      | 19.5            |
|                                   | <b>357,062</b>            | <b>104.71</b>   | <b>265,769</b>              | <b>78.7</b>     |

**Umeme Limited**  
**Notes to the Condensed Interim Financial Statements (continued)**  
**For the six-month period ended 30 June 2016**

**21. SHAREHOLDING**

| <b>Shareholder composition</b>         | <b>30 June 2016</b>     |                                |
|----------------------------------------|-------------------------|--------------------------------|
|                                        | <b>Number of shares</b> | <b>Percentage shareholding</b> |
| National Social Security Funds         | 254,494,235             | 15.7%                          |
| Umeme Holdings Limited                 | 232,214,521             | 14.3%                          |
| Kimberlite Frontier Africa Master Fund | 94,230,530              | 5.8%                           |
| Investec Funds                         | 92,359,476              | 5.7%                           |
| Allan Gray                             | 78,851,435              | 4.9%                           |
| The Africa Emerging Markets Fund       | 55,250,672              | 3.4%                           |
| Duet Fund                              | 52,873,955              | 3.3%                           |
| Utilico Emerging Markets Limited       | 48,281,788              | 3.0%                           |
| International Finance Corporation      | 45,220,900              | 2.8%                           |
| Kattagat Trust                         | 31,751,442              | 2.0%                           |
| Others                                 | 638,349,051             | 39.1%                          |
|                                        | <b>1,623,878,005</b>    | <b>100.00%</b>                 |

**b) Spread of issued shares as at 30 June 2016**

| <b>Shareholding (number of shares)</b> | <b>Number of Shareholders</b> | <b>Number of shares held</b> | <b>Percentage shareholding</b> |
|----------------------------------------|-------------------------------|------------------------------|--------------------------------|
| Less than 500 shares                   | 260                           | 49,487                       | 0.00%                          |
| 500 - 5,000 shares                     | 2,626                         | 4,972,983                    | 0.31%                          |
| 5,001 – 10,000 shares                  | 711                           | 5,863,536                    | 0.36%                          |
| 10,001 – 100,000 shares                | 1,109                         | 32,109,767                   | 1.98%                          |
| 100,001 - 1,000,000 shares             | 406                           | 105,142,787                  | 6.47%                          |
| Above 1,000,000 shares                 | 131                           | 1,475,739,445                | 90.88%                         |
|                                        | <b>5,243</b>                  | <b>1,623,878,005</b>         | <b>100%</b>                    |

**22. EARNINGS BEFORE INTEREST, TAXATION, DEPRECIATION AND AMMORTISATION (EBITDA)**

The Company uses EBITDA as part of its alternative performance measures. For this purpose, EBITDA is defined as operating profits before amortisation adjusted for foreign exchange losses/gains and finance lease income. EBITDA is reconciled to the financial statements as follows:

|                                                | <b>Unaudited<br/>30 June 2016</b> |                     | <b>Unaudited<br/>30 June 2015</b> |                     |
|------------------------------------------------|-----------------------------------|---------------------|-----------------------------------|---------------------|
|                                                | <b>Ushs<br/>million</b>           | <b>USD<br/>'000</b> | <b>Ushs<br/>million</b>           | <b>USD<br/>'000</b> |
| Operating profit before amortisation           | 144,599                           | 42,688              | 122,637                           | 41,106              |
| Financing income on concession financial asset | (12,351)                          | (3647)              | (10,187)                          | (3,414)             |
| Financing income from financial asset          | (506)                             | (148)               | -                                 | -                   |
| Foreign exchange losses                        | 909                               | 274                 | 742                               | 248                 |
| <b>Total EBITDA</b>                            | <b>132,651</b>                    | <b>39,167</b>       | <b>113,192</b>                    | <b>37,940</b>       |

**Umeme Limited**  
**Notes to the Condensed Interim Financial Statements (continued)**  
**Supplementary information**

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**FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2016 IN US DOLLARS**

The Company's functional currency is US Dollars effective 1 January 2015; however the Company has elected to present its financial statements in Uganda Shillings. To meet the needs of certain users of the financial statements, the statement of comprehensive income, statement of financial position and statement of changes in equity have been presented in US Dollars as indicated in the accompanying memoranda.

The translation is done in accordance with the Company's accounting policy as disclosed in note 2. The rates applicable for 2016 and 2015 were as follows:

|                               | <b>June 2016</b> | <b>June 2015</b> | <b>December 2015</b> |
|-------------------------------|------------------|------------------|----------------------|
| Average rate                  | 3,387            | 2,984            | 3,242                |
| Period-end rate               | 3,410            | 3,295            | 3,377                |
| <i>Source: Bank of Uganda</i> |                  |                  |                      |

Umeme Limited  
Notes to the Condensed Interim Financial Statements (continued)  
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**STATEMENT OF PROFIT OR LOSS FOR THE 6 MONTHS PERIOD ENDED 30 JUNE 2016**

|                                             | Unaudited<br>30 June<br>2016<br>USD '000 | Unaudited<br>30 June<br>2015<br>USD '000 |
|---------------------------------------------|------------------------------------------|------------------------------------------|
| Revenue                                     | 194,567                                  | 183,558                                  |
| Cost of sales                               | (131,840)                                | (116,346)                                |
| <b>GROSS PROFIT</b>                         | <b>62,727</b>                            | <b>67,212</b>                            |
| Other operating income                      | 1,028                                    | 1,190                                    |
| Finance income                              | 3,875                                    | 3,554                                    |
|                                             | 67,630                                   | 71,956                                   |
| Repair and maintenance expenses             | (2,418)                                  | (3,065)                                  |
| Administration expenses                     | (22,250)                                 | (27,537)                                 |
| Foreign exchange losses                     | (274)                                    | (248)                                    |
| <b>OPERATING PROFIT BEFORE AMORTISATION</b> | <b>42,688</b>                            | <b>41,106</b>                            |
| Amortisation of intangible assets           | (9,460)                                  | (7,483)                                  |
| <b>OPERATING PROFIT</b>                     | <b>33,228</b>                            | <b>33,623</b>                            |
| Finance costs                               | (9,588)                                  | (8,662)                                  |
| <b>PROFIT BEFORE TAX</b>                    | <b>23,640</b>                            | <b>24,961</b>                            |
| Income tax expense                          | (7,536)                                  | (2,283)                                  |
| <b>PROFIT FOR THE PERIOD</b>                | <b>16,104</b>                            | <b>22,678</b>                            |
|                                             | <b>Jun-16<br/>USD</b>                    | <b>Jun-15<br/>USD</b>                    |
| <b>BASIC AND DILUTED EARNINGS PER SHARE</b> | <b>10</b>                                | <b>14</b>                                |



Umeme Limited  
Notes to the Condensed Interim Financial Statements (continued)  
Supplementary information

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**STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2016**

|                                                       | Unaudited<br>30 June<br>2016<br>USD '000 | Unaudited<br>30 June<br>2015<br>USD '000 |
|-------------------------------------------------------|------------------------------------------|------------------------------------------|
| Profit for the period                                 | 16,104                                   | 22,678                                   |
| Other comprehensive income                            | -                                        | -                                        |
| Total comprehensive income for the period, net of tax | <u>16,104</u>                            | <u>22,678</u>                            |

Umeme Limited  
Notes to the Condensed Interim Financial Statements (continued)  
Supplementary information

**STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2016**

|                                                        | Unaudited<br>30 June<br>2016<br>USD '000 | Unaudited<br>31<br>December<br>2015<br>USD '000 |
|--------------------------------------------------------|------------------------------------------|-------------------------------------------------|
| <b>ASSETS</b>                                          |                                          |                                                 |
| <b>Non-current assets</b>                              |                                          |                                                 |
| Intangible assets                                      | 317,949                                  | 309,327                                         |
| Financial Asset                                        | 14,650                                   | -                                               |
| Concession Financial asset                             | 96,617                                   | 92,970                                          |
|                                                        | <b>429,216</b>                           | <b>402,297</b>                                  |
| <b>Current assets</b>                                  |                                          |                                                 |
| Inventories                                            | 16,433                                   | 12,851                                          |
| Amount recoverable from customer capital contributions | 2,577                                    | 1,965                                           |
| Trade and other receivables                            | 98,262                                   | 100,019                                         |
| Interest Rate Swap                                     | 4                                        | -                                               |
| Bank balances                                          | 5,524                                    | 8,444                                           |
|                                                        | <b>122,800</b>                           | <b>123,279</b>                                  |
| <b>TOTAL ASSETS</b>                                    | <b>552,016</b>                           | <b>525,576</b>                                  |
| <b>EQUITY AND LIABILITIES</b>                          |                                          |                                                 |
| <b>Equity</b>                                          |                                          |                                                 |
| Issued capital                                         | 8,217                                    | 8,217                                           |
| Share premium                                          | 20,815                                   | 20,815                                          |
| Retained earnings                                      | 124,404                                  | 120,146                                         |
|                                                        | <b>153,436</b>                           | <b>149,178</b>                                  |
| <b>Non-current liabilities</b>                         |                                          |                                                 |
| Borrowings: Non-current portion                        | 139,412                                  | 141,297                                         |
| Concession obligation                                  | 96,617                                   | 92,970                                          |
| Deferred income tax liability                          | 23,489                                   | 20,565                                          |
|                                                        | <b>259,518</b>                           | <b>254,832</b>                                  |
| <b>Current liabilities</b>                             |                                          |                                                 |
| Borrowings: Current portion                            | 27,338                                   | 366                                             |
| Customer security deposits                             | 187                                      | 296                                             |
| Deferred income                                        | 2,123                                    | 3,683                                           |
| Long term incentive plan                               | 1,165                                    | 4,291                                           |
| Trade and other payables                               | 91,550                                   | 102,112                                         |
| Current income tax payable                             | 2,627                                    | 1,555                                           |
| Short term borrowings                                  | 14,072                                   | 9,263                                           |
|                                                        | <b>139,062</b>                           | <b>121,566</b>                                  |
| <b>TOTAL EQUITY AND LIABILITIES</b>                    | <b>552,016</b>                           | <b>525,576</b>                                  |

Umeme Limited  
Notes to the Condensed Interim Financial Statements (continued)  
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**STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE 2016**

|                                        | Issued<br>capital<br>USD '000 | Share<br>premium<br>USD '000 | Retained<br>earnings<br>USD '000 | Total<br>equity<br>USD'000 |
|----------------------------------------|-------------------------------|------------------------------|----------------------------------|----------------------------|
| At 1 January 2015                      | 9,988                         | 25,303                       | 94,741                           | 130,032                    |
| Profit for the year                    | -                             | -                            | 34,459                           | 34,459                     |
| Other comprehensive income, net of tax | -                             | -                            | -                                | -                          |
| Total comprehensive income, net of tax | -                             | -                            | 34,459                           | 34,459                     |
| Translation differences                | (1,771)                       | (4,488)                      | 6,125                            | (134)                      |
| Dividend paid                          | -                             | -                            | (15,179)                         | (15,179)                   |
| <b>At 31 December 2015</b>             | <b>8,217</b>                  | <b>20,815</b>                | <b>120,146</b>                   | <b>149,178</b>             |
| At 1 January 2015                      | 8,217                         | 20,815                       | 120,146                          | 149,178                    |
| Profit for the period                  | -                             | -                            | 16,104                           | 16,104                     |
| Other comprehensive income, net of tax | -                             | -                            | -                                | -                          |
| Total comprehensive income, net of tax | -                             | -                            | 16,104                           | 16,104                     |
| Dividend declared                      | -                             | -                            | (11,846)                         | (11,846)                   |
| <b>At 30 June 2016</b>                 | <b>8,217</b>                  | <b>20,815</b>                | <b>124,404</b>                   | <b>153,436</b>             |

Umeme Limited  
Notes to the Condensed Interim Financial Statements (continued)  
Supplementary information

**STATEMENT OF CASHFLOW FOR THE PERIOD ENDED 30 JUNE 2016**

|                                                                    | Unaudited<br>30 June<br>2016<br>USD '000 | Unaudited<br>30 June<br>2015<br>USD '000 |
|--------------------------------------------------------------------|------------------------------------------|------------------------------------------|
| Profit before tax                                                  | 23,640                                   | 24,961                                   |
| <b>Adjustment for:</b>                                             |                                          |                                          |
| Interest received from banks                                       | (79)                                     | (139)                                    |
| Finance income on concession financial asset                       | (3,647)                                  | (3,414)                                  |
| Amortisation of intangible assets                                  | 9,460                                    | 6,860                                    |
| Loss on disposal of intangible assets                              | -                                        | 623                                      |
| Interest expense on Facilities A and B                             | 4,585                                    | 3,113                                    |
| Amortisation of deferred transaction costs                         | 565                                      | 394                                      |
| Finance cost on concession obligation                              | 3,647                                    | 3,414                                    |
| Finance income on interest receivable on financial asset           | (148)                                    | -                                        |
| Unrealised foreign exchange gains on translation                   | -                                        | (3,833)                                  |
|                                                                    | <u>38,023</u>                            | <u>31,979</u>                            |
| Increase decrease in inventories                                   | (3,582)                                  | (2,515)                                  |
| Increase in amount recoverable from customer capital contributions | (612)                                    | (860)                                    |
| Decrease in trade and other receivables                            | 1,758                                    | 17,495                                   |
| Increase in Interest rate SWAP                                     | (4)                                      | 0                                        |
| (Decrease)/increase in deferred income                             | (1,560)                                  | 854                                      |
| (Decrease)/increase in long term incentive plan                    | (3,126)                                  | 1,520                                    |
| Decrease in trade and other payables                               | (10,560)                                 | (2,498)                                  |
| <b>Cash generated from operating activities</b>                    | <b>20,337</b>                            | <b>45,975</b>                            |
| Interest received from banks                                       | 79                                       | 139                                      |
| Current income tax paid                                            | (3,540)                                  | (6,436)                                  |
| Interest paid on loan A and B                                      | (4,952)                                  | (3,128)                                  |
| Commitment fees on Loan A and B                                    | (112)                                    | (420)                                    |
| <b>Net cash flows from operating activities</b>                    | <b>11,812</b>                            | <b>36,130</b>                            |
| <b>Investing activities</b>                                        |                                          |                                          |
| Purchase of intangible assets                                      | (32,584)                                 | (34,825)                                 |
| <b>Net cash flows used in investing activities</b>                 | <b>(32,584)</b>                          | <b>(34,825)</b>                          |
| <b>Financing activities</b>                                        |                                          |                                          |
| Repayment of borrowings                                            | -                                        | -                                        |
| Net proceeds from borrowings                                       | 24,999                                   | 25,000                                   |
| Dividends declared                                                 | (11,846)                                 | (10,614)                                 |
| <b>Net cash flows from financing activities</b>                    | <b>13,153</b>                            | <b>14,386</b>                            |
| <b>Net (decrease)/increase in cash and cash equivalents</b>        | <b>(7,619)</b>                           | <b>15,691</b>                            |
| Cash and cash equivalents at 1 January                             | (1,116)                                  | (927)                                    |
| <b>Cash and cash equivalents at 30 June</b>                        | <b>(8,735)</b>                           | <b>14,764</b>                            |



Umeme Limited  
Notes to the Condensed Interim Financial Statements (continued)  
Supplementary information

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**STATEMENT OF CASHFLOW FOR THE PERIOD ENDED 30 JUNE 2016 (CONTINUED)**

|                                                         | Unaudited<br>30 June<br>2016<br>USD '000 | Unaudited<br>30 June<br>2015<br>USD '000 |
|---------------------------------------------------------|------------------------------------------|------------------------------------------|
| <b>Cash and cash equivalents</b>                        |                                          |                                          |
| Bank balances                                           | 5,524                                    | 20,175                                   |
| Short term borrowing facility                           | (14,072)                                 | (2,435)                                  |
| Bank balances not available for use – customer deposits | (187)                                    | (2,976)                                  |
|                                                         | <b>(8,735)</b>                           | <b>14,764</b>                            |